Seedling 5: Human Resource Systems (Passivity Grade: C)

Amazon.com is a distribution system backboned by a computer system and operated by a human resource system. Human resource systems are the most expensive and complicated to run. Humans are unpredictable, expensive, and difficult to control. Ask anyone with a company that relies on employees how challenging it is to keep employees happy.

I came to the employee crossroads with my own company. I had to either suffer Internet technology obsolescence or hire two more people to scale my company to the next level. Since my business was already 80% passive, I knew that adding employees would erode the passivity of my business because employees need management. At a certain level, even managers need managers.

The other alternatives were to keep my company on autopilot and watch it slowly degrade over the years (Web companies need to be constantly reinvented), dig in and return to "startup" mode (long hours in "Chuma" mode), or sell it. After evaluating the options, I chose to sell. In my case, human resource additions would have subtracted to passivity, not added. While I would have made more money hiring more people, I wasn't willing to forgo my free time for it.

A year after I sold my company, I examined the possibility of a parking business near the airport. Local travelers to the Phoenix airport could valet-park their car in a neighboring parking lot and get chauffeured to the airport. In general, this was a rental system. People would pay to park their car and I would earn a daily fee for each parked car. It had Internet-like qualities; it ran 24/7 and generated income with the simple passage of time. It was great idea with high potential for passivity. I found land for sale near the airport and it was perfect. I started to run numbers, projections, and scenarios to see how I could make this business a reality.

The numbers uncovered something important. While the business model was truly a "rental system," the operation itself was a "human resource system." To make this idea a successful business, it would have required at least two-dozen people on payroll at all times. That stopped me cold and I didn't pursue it further. I wasn't willing to risk trading passivity for a human resource system that is unpredictable and difficult to manage.

A member of the Fastlane community owns a few self-storage facilities. Her business is a rental system. People pay money to store their junk and she receives monthly income. You'd assume that her facility is run by a human resource system—managers, property assistants—but it isn't. Her properties have automated kiosks that run each property—a computer system. This makes her business 85% passive. Remove the kiosk, add human resource systems, and passivity drops.

Does this suggest that human resource systems are a drain to passivity? It depends. First, what is the existing level of passivity to the business as it is now? If you own a coffee shop and work 80 hours a week, you have ZERO passivity. A general manger—a human resource system—would raise passivity by an estimated